

Chapter 1

Context: EU Institutions & Law

What is the EU, how is it built, and how does it make decisions?

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- Part 1: Complete Synthesis — all key concepts with examples
- Part 2: Q&A; Exam Format — 15 questions & answers

PART 1 — COMPLETE SYNTHESIS

KEY CONCEPT 1 — The EU Idea & History

The EU was born from the ashes of WWII with one goal: make war between European nations **materially impossible** by linking their economies. Robert Schuman's 1950 declaration led to the ECSC (coal & steel), the first brick of European integration.

7 milestones you must know:

Date	Event	What it changed
1951	ECSC (Schuman Treaty)	France + Germany pool coal & steel
1957	Treaties of Rome	EEC + Euratom → common market created
1968	Customs Union completed	No more customs duties between members
1985/86	Schengen + Single Market Act	Free movement of people + 4 freedoms
1992	Maastricht Treaty	Official EU created + euro planned
2007	Lisbon Treaty	295 amendments, streamlined institutions
1999/2002	Euro (rates fixed / coins)	Single monetary policy under ECB

The 3 circles — never confuse them:

- **EU** = 27 Member States
- **Schengen** = 29 states (free movement, includes non-EU: Norway, Switzerland...)
- **Eurozone** = 20 states (single currency, the euro)

KEY CONCEPT 2 — The Institutional Triangle

The EU is governed by a triangle of 3 main institutions that share legislative power:

Institution	Role	Head	Location
European Commission	Executive + proposes laws + guardian of treaties	Ursula von der Leyen (27 commissioners)	Brussels (Berlaymont)
European Parliament	Co-legislator, represents **citizens**	Roberta Metsola (705 MEPs)	Strasbourg + Brussels
Council of the EU	Co-legislator, represents **governments**	Rotating presidency (6 months)	Brussels (Justus Lipsius)

Concrete example: The Commission proposes a law on CO2 emissions. The Parliament (elected citizens) and the Council (environment ministers of 27 states) both vote on it. If they disagree, they

negotiate — this is the OLP.

3 more institutions to know:

- **European Council** = heads of state (Macron, Scholz, etc.) — sets political direction, NOT a legislator
- **ECB** = manages the euro, sets interest rates (Christine Lagarde)
- **CJEU** = ensures EU law is respected (Luxembourg)
- **Council of Europe** ≠ EU — completely separate, 46 countries, human rights only

KEY CONCEPT 3 — EU Law: Primary vs Secondary

Primary Law = the EU's constitution. It's the founding treaties:

- **TEU** (Treaty on European Union): objectives, institutional structure
- **TFEU** (Treaty on Functioning of EU): detailed competences and policies

Secondary Law = laws made *under* the treaties. 5 types:

Type	Binding?	Direct?	Example
Regulation	Yes	Yes (applies immediately)	GDPR data protection
Directive	Yes	No (states must transpose)	USB-C standardization directive
Decision	Yes	Yes (specific targets)	Fine on Microsoft
Recommendation	No	No	Advice on pension reform
Opinion	No	No	View on trade policy

3 principles governing EU competences:

1. **Conferral**: EU only has powers granted by treaties — nothing more
2. **Subsidiarity**: EU acts only if states can't do it effectively alone
3. **Proportionality**: EU action must not exceed what's needed

KEY CONCEPT 4 — The OLP (Ordinary Legislative Procedure)

How a law gets made: Commission proposes → Parliament + Council co-decide (max 3 readings). If no agreement after 3 readings → Conciliation Committee → if still no deal → law dies.

Qualified majority in Council = 55% of states + 65% of EU population.

KEY CONCEPT 5 — The Single Market & Balassa's Integration Levels

The Single Market = the EU's greatest achievement. 450 million consumers, free movement of:

1. **Goods** (no customs duties internally)
2. **Services** (a Belgian lawyer can work in Spain)
3. **Capital** (invest freely across borders)
4. **People** (live, work, study anywhere in the EU)

Balassa's 6 levels of integration (learn in order):

1. Free Trade Area → removes customs duties between members
2. Customs Union → + common external tariff with non-members
3. Common Market → + free movement of production factors
4. Economic Union → + harmonized economic policies
5. **EMU** → + single currency + common monetary policy ← WHERE THE EU IS
6. Political Union → + full sovereignty transfer (not achieved yet)

KEY CONCEPT 6 — EU Trade Policy

The EU is the world's largest single market and speaks with **one voice** in trade negotiations.

- **TTIP** (USA) — under negotiation, aims to reduce tariff + regulatory barriers
- **CETA** (Canada, 2017) — removes 99% of trade barriers, "new generation" treaty
- **MERCOSUR** (Latin America) — Argentina, Brazil, Paraguay, Uruguay
- **CCT (Common Customs Tariff)** — same tariff applied to ALL imports from outside EU
- Trade policy = **exclusive EU competence** (not national governments)

PART 2 — Q&A; EXAM FORMAT (15 Questions)

Q1 What was the founding idea behind the EU?

To make war between European nations materially impossible by linking their economies. The Schuman Declaration (1950) proposed pooling French and German coal and steel production, leading to the ECSC in 1951.

Q2 What are the 3 circles of European membership? How many states in each?

EU = 27 states. Schengen = 29 states (free movement of people, includes non-EU countries). Eurozone = 20 states (single currency, the euro).

Q3 What are the 3 institutions of the Institutional Triangle and their roles?

Commission (executive, proposes laws, guardian of treaties — von der Leyen, 27 commissioners). Parliament (co-legislator, represents citizens — Metsola, 705 MEPs). Council of the EU (co-legislator, represents governments — rotating 6-month presidency).

Q4 European Council ≠ Council of the EU ≠ Council of Europe — explain each.

European Council = heads of state (Macron, Scholz...), sets political direction, NOT a legislator. Council of the EU = ministers of 27 states, co-legislates. Council of Europe = completely separate from EU, 46 countries, defends human rights.

Q5 What is Primary Law? Give examples.

Primary Law is the supreme source of EU law — the founding treaties. TEU (Treaty on European Union): objectives and institutional structure. TFEU (Treaty on Functioning of EU): detailed competences and policies. Both were created at Maastricht and updated at Lisbon.

Q6 Regulation vs Directive — what's the key difference?

A Regulation is directly applicable in all member states the moment it enters into force (e.g. GDPR). A Directive sets an objective but member states must transpose it into national law within a deadline (e.g. USB-C directive).

Q7 What are the 3 principles governing EU competences?

1. Conferral: EU only has powers explicitly granted by treaties. 2. Subsidiarity: EU acts only if states cannot act effectively alone. 3. Proportionality: EU action must not exceed what is needed to achieve the objective.

Q8 What is the OLP (Ordinary Legislative Procedure)?

The default lawmaking process: Commission proposes → Parliament + Council co-decide on equal footing, max 3 readings. If no agreement, a Conciliation Committee is convened. If it still fails, the law is not adopted.

Q9 What is the qualified majority in the Council of the EU?

55% of Member States + 65% of the EU population. This double threshold means large AND small countries must both be represented.

Q10 What are the 4 freedoms of the Single Market?

Free movement of: 1. Goods (no internal customs). 2. Services (provide services in any member state). 3. Capital (invest freely). 4. People (live, work, study anywhere in the EU).

Q11 List Balassa's 6 levels of regional integration in order.

1. Free Trade Area. 2. Customs Union (+ common external tariff). 3. Common Market (+ free movement of factors). 4. Economic Union (+ harmonized policies). 5. EMU (+ single currency + monetary policy). 6. Political Union (+ full sovereignty transfer). The EU is at level 5.

Q12 What is the CETA and why is it called a 'new generation' treaty?

CETA is the free trade agreement between the EU and Canada (signed 2016, partially in force 2017). It removes 99% of import barriers. It's 'new generation' because it goes beyond customs duties to cover services, investments, intellectual property and public procurement.

Q13 What is the Common Customs Tariff (CCT)?

A uniform tariff applied by all EU member states to goods imported from outside the EU. Rates vary depending on the product type and its economic sensitivity. Managing external trade is an exclusive EU competence.

Q14 What Treaty created the EU as we know it today?

The Maastricht Treaty (1992), which officially created the European Union from the existing European Community, introduced the three-pillar structure, and laid the groundwork for the euro and EMU.

Q15 What did the Lisbon Treaty change?

Signed in 2007, it introduced 295 amendments to existing treaties. It created the permanent President of the European Council, gave the Parliament equal power with the Council in most areas, and made the Charter of Fundamental Rights legally binding. It did NOT transfer new exclusive powers to the EU.